

HOUSE BILL No. 1113

DIGEST OF INTRODUCED BILL

Citations Affected: IC 32-31; IC 36-7-9.

Synopsis: Repair of residential rental properties. Requires a landlord to repair or replace an essential item not later than 24 hours after being notified by a tenant that the tenant's rental unit is without certain essential services. Provides that a tenant may request an agency tasked with enforcing unsafe building provisions (enforcement authority) to conduct an inspection and replace or repair an essential item within 24 hours of the inspection. Authorizes the enforcement authority to replace or repair an essential item within 24 hours and to charge the landlord for certain costs and to order a \$500 civil penalty to be paid. Requires any civil penalties to be placed in a repair fund to be used for costs incurred by the enforcement authority to replace or repair an essential item. Establishes appeal procedures. Requires a rental agreement entered into after June 30, 2026, to include a provision allowing a tenant to be reimbursed for any deposits paid by the tenant and to terminate the rental agreement if certain repairs are not made within seven days. Allows a court to order that a tenant's regular rental payments are paid into an attorney trust account or to the clerk of the court during the pendency of an enforcement action brought by the tenant.

Effective: Upon passage; July 1, 2026.

Pryor

January 5, 2026, read first time and referred to Committee on Judiciary.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1113

A BILL FOR AN ACT to amend the Indiana Code concerning property.

Be it enacted by the General Assembly of the State of Indiana:

1 SECTION 1. IC 32-31-5-8 IS ADDED TO THE INDIANA CODE
2 AS A **NEW** SECTION TO READ AS FOLLOWS [EFFECTIVE
3 UPON PASSAGE]: **Sec. 8. This section applies to a written rental**
4 **agreement between a landlord and tenant entered into after June**
5 **30, 2026. The written rental agreement shall include a provision**
6 **that in the event that the landlord fails to replace or repair an item**
7 **necessary to comply with IC 32-31-8-5(c)(2), IC 32-31-8-5(c)(4), or**
8 **IC 32-31-8-5(d) within seven (7) days after receiving notice of the**
9 **deficiency, the tenant has the right to be reimbursed for any**
10 **deposits placed on the dwelling unit and terminate the rental**
11 **agreement.**

12 SECTION 2. IC 32-31-8-5 IS AMENDED TO READ AS
13 FOLLOWS [EFFECTIVE JULY 1, 2026]: **Sec. 5. (a) As used in this**
14 **section, "essential item" means an item, or one (1) or more parts**
15 **or components of an item, that:**

16 **(1) is described in subsection (c)(4); and**
17 **(2) is:**



1 (A) used for; or
 2 (B) necessary to;
 3 the delivery of one (1) or more essential services to a rental
 4 unit.

5 (b) As used in this section, "essential service" means:

- 6 (1) electricity;
 7 (2) gas;
 8 (3) heat;
 9 (4) water; or
 10 (5) another service;

11 needed for the safe and habitable occupation by a tenant of the
 12 tenant's rental unit.

13 (c) A landlord shall do the following:

- 14 (1) Deliver the rental premises to a tenant in compliance with the
 15 rental agreement, and in a safe, clean, and habitable condition.
 16 (2) Comply with all health and housing codes applicable to the
 17 rental premises.
 18 (3) Make all reasonable efforts to keep common areas of a rental
 19 premises in a clean and proper condition.
 20 (4) Provide and maintain the following items in a rental premises
 21 in good and safe working condition, if provided on the premises
 22 at the time the rental agreement is entered into:

- 23 (A) Electrical systems.
 24 (B) Plumbing systems sufficient to accommodate a reasonable
 25 supply of hot and cold running water at all times.
 26 (C) Sanitary systems.
 27 (D) Heating, ventilating, and air conditioning systems. A
 28 heating system must be sufficient to adequately supply heat at
 29 all times.
 30 (E) Elevators, if provided.
 31 (F) Appliances supplied as an inducement to the rental
 32 agreement.

33 (d) Subject to subsections (e) and (f), a landlord shall repair or
 34 replace an essential item not later than twenty-four (24) hours
 35 after being notified by a tenant that the rental unit is without one
 36 (1) or more essential services as a result of:

- 37 (1) a malfunction in the essential item; or
 38 (2) the landlord's failure to otherwise maintain the essential
 39 item in good and safe working condition.

40 (e) The twenty-four (24) hour period set forth in subsection (d)
 41 does not apply if:

- 42 (1) the malfunction is the direct result of the tenant's



1 commission of waste to the essential item or the rental unit; or
 2 (2) the landlord makes a good faith attempt within the
 3 twenty-four (24) hour period to repair or replace an essential
 4 item through:

5 (A) the landlord's own efforts; or

6 (B) the services of:

7 (i) a contractor; or

8 (ii) an employee or agent of the landlord;

9 and the landlord or person described in clause (B) is unable to
 10 begin or complete the needed repairs or replacement within
 11 the twenty-four (24) hour period.

12 (f) Subsection (d) does not:

13 (1) prohibit a landlord from interrupting, shutting off, or
 14 terminating one (1) or more essential services to a rental unit
 15 as needed:

16 (A) in an emergency;

17 (B) to make good faith repairs; or

18 (C) for construction; or

19 (2) require a landlord to pay for one (1) or more essential
 20 services provided to a rental unit if the landlord has not
 21 agreed to pay for the essential services under the rental
 22 agreement.

23 SECTION 3. IC 32-31-8-5.5 IS ADDED TO THE INDIANA CODE
 24 AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY
 25 1, 2026]: Sec. 5.5. Instead of, or prior to, bringing an action under
 26 section 6 of this chapter, a tenant may enforce an obligation of a
 27 landlord under this chapter by doing one (1) of the following:

28 (1) Requesting an enforcement authority (as defined in
 29 IC 36-7-9-2) to make repairs to an essential item defined in
 30 section 5(a) of this chapter in accordance with IC 36-7-9-5.5.

31 (2) Terminating a rental agreement in accordance with
 32 IC 32-31-5-8.

33 SECTION 4. IC 32-31-8-6.5 IS ADDED TO THE INDIANA CODE
 34 AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY
 35 1, 2026]: Sec. 6.5. (a) This section applies to an action filed under
 36 section 6 of this chapter, after June 30, 2026.

37 (b) During the pendency of an action, if a tenant continues to
 38 occupy the rental unit upon which the action is based, the court
 39 may issue a provisional order that the tenant make the regular
 40 rental payments due under the rental agreement to:

41 (1) the clerk of the court, who shall hold the payments in a
 42 trust; or



(2) an attorney trust account.

The funds held under this subsection may not be disbursed without a court order.

(c) If a tenant is the prevailing party, the tenant is entitled to a refund of rental payments made under subsection (b). The court shall determine the amount of the refund by considering:

- (1) the estimated cost of repairs or other action necessary to remedy the condition that was the basis of the tenant's action;**
- (2) expenses incurred by the tenant to remedy the condition that was the basis of the tenant's action;**
- (3) efforts by the landlord before and after the filing of the tenant's action to remedy the condition that was the basis of the tenant's action; and**
- (4) any other factors that justice may require.**

The court may reduce the amount of funds to be awarded to the tenant if the court determines that the tenant contributed to the condition of noncompliance that formed the basis of the action.

(d) If a landlord is the prevailing party:

- (1) the landlord is entitled to receive the rental payments made under subsection (b) to be credited against the amount of the regular rental payments due by the tenant under the parties' rental agreement; and**
- (2) the court may reduce the amount of funds to be awarded to the landlord if the court determines that the landlord's failure to comply with one (1) or more requirements under this chapter contributed to the condition of noncompliance that formed the basis of the action.**

(e) The court shall issue an order directing the disbursement of funds under either subsection (c) or (d).

SECTION 5. IC 36-7-9-5, AS AMENDED BY P.L.247-2015, SECTION 41, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 5. (a) The enforcement authority may issue an order requiring action relative to any unsafe premises, including:

- (1) vacating of an unsafe building;**
- (2) sealing an unsafe building against intrusion by unauthorized persons, in accordance with a uniform standard established by ordinance;**
- (3) extermination of vermin in and about the unsafe premises;**
- (4) removal of trash, debris, fire hazardous material, or a public health hazard in and about the unsafe premises;**
- (5) repair or rehabilitation of an unsafe building to bring it into compliance with standards for building condition or maintenance**



required for human habitation, occupancy, or use by a statute, a rule adopted under IC 4-22-2, or an ordinance;

(6) demolition and removal of part of an unsafe building;

(7) demolition and removal of an unsafe building if:

(A) the general condition of the building warrants removal; or

(B) the building continues to require reinspection and additional abatement action after an initial abatement action was taken pursuant to notice and an order; ~~and~~

(8) requiring, for an unsafe building that will be sealed for a period of more than ninety (90) days:

(A) sealing against intrusion by unauthorized persons and the effects of weather;

(B) exterior improvements to make the building compatible in appearance with other buildings in the area; and

(C) continuing maintenance and upkeep of the building and premises;

in accordance with standards established by ordinance; **and**

(9) providing for the replacement or repair of an essential item (as defined in IC 32-31-8-5(a)) and assessing costs and a civil penalty in accordance with section 5.5 of this chapter.

Notice of the order must be given under section 25 of this chapter. The ordered action must be reasonably related to the condition of the unsafe premises and the nature and use of nearby properties. The order supersedes any permit relating to building or land use, whether that permit is obtained before or after the order is issued.

(b) The order must contain the following:

(1) The name of the person to whom the order is issued.

(2) The legal description or address of the unsafe premises that are the subject of the order.

(3) The action that the order requires.

(4) The period of time in which the action is required to be accomplished, measured from the time when the notice of the order is given.

(5) If a hearing is required, a statement indicating the exact time and place of the hearing, and stating that person to whom the order was issued is entitled to appear at the hearing with or without legal counsel, present evidence, cross-examine opposing witnesses, and present arguments.

(6) If a hearing is not required, a statement that an order under subsection (a)(2), (a)(3), (a)(4), ~~or~~ (a)(5), **or (a)(9)** becomes final ten (10) days after notice is given, unless a hearing is requested in writing by a person holding a fee interest, life estate interest, or



equitable interest of a contract purchaser in the unsafe premises, and the request is delivered to the enforcement authority before the end of the ten (10) day period.

(7) A statement briefly indicating what action can be taken by the enforcement authority if the order is not complied with.

(8) A statement indicating the obligation created by section 27 of this chapter relating to notification of subsequent interest holders and the enforcement authority.

(9) The name, address, and telephone number of the enforcement authority.

(10) A statement that the hearing authority may determine the property to be abandoned as provided in IC 36-7-37.

(c) **Except as provided by section 5.5 of this chapter**, the order must allow a sufficient time, of at least ten (10) days, but not more than sixty (60) days, from the time when notice of the order is given, to accomplish the required action. If the order allows more than thirty (30) days to accomplish the action, the order may require that a substantial beginning be made in accomplishing the action within thirty (30) days.

(d) The order expires two (2) years from the day the notice of the order is given, unless one (1) or more of the following events occurs within that two (2) year period:

(1) A complaint requesting judicial review is filed under section 8 of this chapter.

(2) A contract for action required by the order is let at public bid under section 11 of this chapter.

(3) A civil action is filed under section 17 of this chapter.

(e) If the order contains a statement under subsection (a)(6) or (a)(7), notice of the order shall be given to each person with a known or recorded substantial property interest.

SECTION 6. IC 36-7-9-5.5 IS ADDED TO THE INDIANA CODE AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: **Sec. 5.5. (a) If a tenant reports that a landlord has not repaired an essential item (as defined in IC 32-31-8-5(a)) within twenty-four (24) hours, the tenant may submit a request, in a manner prescribed by the enforcement authority, not later than forty-eight (48) hours after the expiration of the twenty-four (24) hour time frame described in IC 32-31-8-5(d). If the enforcement authority receives a request from a tenant under this section, the enforcement authority shall inspect the premises not later than twenty-four (24) hours after the receipt of the request. If the enforcement authority determines that a landlord has not complied**



with IC 32-31-8-5(d), except as provided in section 7(a) of this chapter, the enforcement authority shall immediately contract to commence replacement or repair of the essential item not later than twenty-four (24) hours after the inspection and is liable for costs of the replacement or repair of an essential item in accordance with section 12 of this chapter. In addition, the enforcement authority may issue to the landlord a civil penalty not to exceed five hundred dollars (\$500). A civil penalty issued under this section must be deposited in a fund established under subsection (b).

(b) The enforcement authority shall establish in its operating budget a fund designated as the residential rental unit repair fund. Any balance remaining at the end of a fiscal year shall be carried over in the fund for the following year and does not revert to the general fund. Civil penalties collected under subsection (a) shall be deposited in the fund. The fund may be used for the expenses incurred in carrying out the purposes of this section, including:

- (1) the cost of obtaining reliable information about the identity and location of each person who owns a substantial property interest in unsafe premises;
- (2) the cost of making repairs or the bid price of a contractor to make the repairs;
- (3) administrative costs to carry out this section; and
- (4) costs associated with conducting a hearing under section 7 of this chapter.

SECTION 7. IC 36-7-9-7, AS AMENDED BY P.L.247-2015, SECTION 42, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 7. (a) A hearing must be held relative to each order of the enforcement authority, except for an order issued under section 5(a)(2), 5(a)(3), 5(a)(4), 5(a)(5), **5(a)(9)**, or 7.5 of this chapter. An order issued under section 5(a)(2), 5(a)(3), 5(a)(4), 5(a)(5), or 7.5 of this chapter becomes final ten (10) days after notice is given, unless a hearing is requested before the ten (10) day period ends by a person holding a fee interest, life estate interest, mortgage interest, or equitable interest of a contract purchaser in the unsafe premises. The hearing shall be conducted by the hearing authority. **A landlord may request a hearing for an order issued under section 5(a)(9) of this chapter before the enforcement authority commences to make a replacement or repair of an essential item (as defined in IC 32-31-8-5(a)) in accordance with section 5.5 of this chapter. If a landlord requests a hearing pertaining to the enforcement of section 5.5 of this chapter, the enforcement authority may not**



commence with the replacement or repair of an essential item until the hearing authority issues findings under this section.

(b) The hearing shall be held on a business day no earlier than ten (10) days after notice of the order is given. The hearing authority may, however, take action at the hearing, or before the hearing if a written request is received by the enforcement authority not later than five (5) days after notice is given, to continue the hearing to a business day not later than fourteen (14) days after the hearing date shown on the order. Unless the hearing authority takes action to have the continued hearing held on a definite, specified date, notice of the continued hearing must be given to the person to whom the order was issued at least five (5) days before the continued hearing date, in the manner prescribed by section 25 of this chapter. If the order being considered at the continued hearing was served by publication, it is sufficient to give notice of the continued hearing by publication unless the enforcement authority has received information in writing that enables it to make service under section 25 of this chapter by a method other than publication.

(c) The person to whom the order was issued, any person having a substantial property interest in the unsafe premises that are the subject of the order, or any other person with an interest in the proceedings may appear in person or by counsel at the hearing. Each person appearing at the hearing is entitled to present evidence, cross-examine opposing witnesses, and present arguments.

(d) At the conclusion of any hearing at which a continuance is not granted, the hearing authority may make findings and take action to:

- (1) affirm the order;
- (2) rescind the order; or
- (3) modify the order, but unless the person to whom the order was issued, or counsel for that person, is present at the hearing, the hearing authority may modify the order in only a manner that makes its terms less stringent.

(e) In addition to affirming the order, in those cases in which the hearing authority finds that there has been a willful failure to comply with the order, the hearing authority may impose a civil penalty in an amount not to exceed five thousand dollars (\$5,000). The effective date of the civil penalty may be postponed for a reasonable period, after which the hearing authority may order the civil penalty reduced or stricken if the hearing authority is satisfied that all work necessary to fully comply with the order has been done. For purposes of an appeal under section 8 of this chapter or enforcement of an order under section 17 of this chapter, action of the hearing authority is considered final



upon the affirmation of the order, even though the hearing authority may retain jurisdiction for the ultimate determination related to the civil penalty. In the hearing authority's exercise of continuing jurisdiction, the hearing authority may, in addition to reducing or striking the civil penalty, impose one (1) or more additional civil penalties in an amount not to exceed five thousand dollars (\$5,000) per civil penalty. An additional civil penalty may be imposed if the hearing authority finds that:

(1) significant work on the premises to comply with the affirmed order has not been accomplished; and

(2) the premises have a negative effect on property values or the quality of life of the surrounding area or the premises require the provision of services by local government in excess of the services required by ordinary properties.

The hearing authority may not impose an additional civil penalty in a hearing to review a civil penalty imposed by the enforcement authority under section 7.5 of this chapter.

(f) If, at a hearing, a person to whom an order has been issued requests an additional period to accomplish action required by the order, and shows good cause for this request to be granted, the hearing authority may grant the request. However, as a condition for allowing the additional period, the hearing authority may require that the person post a performance bond to be forfeited if the action required by the order is not completed within the additional period.

(g) If an order is affirmed or modified, the hearing authority shall issue a continuous enforcement order (as defined in section 2 of this chapter).

(h) The board or commission having control over the department shall, at a public hearing, after having given notice of the time and place of the hearing by publication in accordance with IC 5-3-1, adopt a schedule setting forth the maximum amount of performance bonds applicable to various types of ordered action. The hearing authority shall use this schedule to fix the amount of the performance bond required under subsection (f).

(i) The record of the findings made and action taken by the hearing authority at the hearing shall be available to the public upon request. However, neither the enforcement authority nor the hearing authority is required to give any person notice of the findings and action.

(j) If a civil penalty under subsection (e) is unpaid for more than fifteen (15) days after payment of the civil penalty is due, the civil penalty may be collected from any person against whom the hearing officer assessed the civil penalty or fine. A civil penalty or fine may be



1 collected under this subsection in the same manner as costs under
2 section 13 or 13.5 of this chapter. The amount of the civil penalty or
3 fine that is collected shall be deposited in the unsafe building fund.
4 **SECTION 8. An emergency is declared for this act.**

